Zhongji InnoLight 300308.SZ 300308 CH

EQUITY: TECHNOLOGY

Multiple growth drivers ahead in AI optical network...

...1.6T/3.2T transceivers, NPO, CPO to extend AI upcycle

Rating Remains	**Buy**
Target price Increased from CNY 799.00	**CNY 1,015.00**
Closing price 16 April 2026	**CNY 809.61**
Implied upside	**+25.4%**
Market Cap (USD mn)	133,139.6
ADT (USD mn)	2,674.5

Action: Maintain Buy; raise TP to CNY1,015, implying 25.4% upside

2026 is marked by significant market hype surrounding 1.6T transceiver demand, in our view. On 16 April after market close, InnoLight reported a set of strong 1Q26 results, with revenue/earnings delivering 47%/57% q-q growth, given strong uptick in 800G/1.6T and Silicon Photonics product shipments, in our view. We view 1.6T transceivers as a key growth driver for InnoLight, which is a leading global manufacturer of high-end optical transceivers (source: Light Counting). We think the company will continue to enjoy multi-year secular growth based on: **(1) 3.2T transceiver upgrades in 2028F and beyond; and (2) business expansion into NPO (Near-field packaging optics) and CPO (Co-packaged optics)**. Considering its accelerated AI infra investments and networking technology upgrades, we raise our **FY26-27F global shipment forecasts for 1.6T transceivers to 26mn/60mn units (from 20mn/34mn units)**, but lower **800G shipment forecasts to 34mn/50mn units (from 43mn/58mn units)**. We think the company will maintain a **30~35% global market share in the 100G+ transceiver market, and a 45%+ share in 1.6T in FY26-27F**. Moreover, continued migration into silicon photonics transceivers should underpin further margin expansion, in our view. We raise our FY26-27F revenue/earnings forecasts by 30-71%/27-65% to reflect the strong demand for high-end transceiver products; we also introduce our FY28F revenue/earnings forecasts, with 33%/33% y-y growth, as we expect 3.2T transceiver demand to start to kick in then. We maintain our Buy rating and raise TP to CNY1,015 (from CNY799), based on rolled-forward 20x FY27F EPS of CNY50.87 (previously 30x FY26F P/E), in line with WIND's China A share tech/electronic component sector median P/E. The stock is trading at 16x FY27F EPS.

Component shortage likely to persist due to buoyant demand, but supply-chain diversification should help overcome scarce supply

Owing to the sharply increased 800G/1.6T transceiver demand, we think key components, such as optical chips, isolators, and InP wafer materials, may remain in short supply in 2026F. Lumentum's (LITE US, Not rated) CEO recently noted that the company's **optical chip capacity was fully booked until 2027E, and that 2028E capacity could be sold out within two quarters** (Bloomberg *news*). Coherent (COHR US, Not rated) and Granopt (unlisted), which have significant market share in **isolators/rotators, may also have limited supply**. However, we think InnoLight should maintain its solid sequential growth trajectory on the back of its sufficient inventory, and supply-chain diversification.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	38,240	94,098	122,105	119,684	204,546	0	271,717
Reported net profit (mn)	10,797	25,605	32,433	34,301	56,525	0	75,374
Normalised net profit (mn)	10,797	25,605	32,433	34,301	56,525	0	75,374
FD normalised EPS	9.72	22.84	29.19	30.59	50.87		67.84
FD norm. EPS growth (%)	110.7	149.0	200.4	34.0	74.3		33.3
FD normalised P/E (x)	83.3	–	27.7	–	15.9	–	11.9
EV/EBITDA (x)	61.5	–	21.4	–	11.8	–	8.2
Price/book (x)	30.2	–	15.8	–	8.6	–	5.4
Dividend yield (%)	0.2	–	0.6	–	1.0	–	1.4
ROE (%)	44.2	66.6	74.8	54.0	70.2		55.5
Net debt/equity (%)	net cash	2.6	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

Relative performance chart

Source: LSEG, Nomura

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Key data on Zhongji InnoLight

Performance

(%)	1M	3M	12M		
Absolute (CNY)	44.1	31.2	938.1	M cap (USDmn)	133,139.6
Absolute (USD)	45.9	34.1	1,015.3	Free float (%)	68.1
Rel to CSI 300	43.8	32.2	913.9	3-mth ADT (USDmn)	2,674.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	23,862	38,240	122,105	204,546	271,717
Cost of goods sold	-15,796	-22,166	-71,070	-116,724	-152,214
Gross profit	8,067	16,074	51,035	87,822	119,504
SG&A	-2,170	-2,170	-10,591	-18,151	-26,829
Employee share expense					
Operating profit	5,897	13,905	40,443	69,671	92,674
EBITDA	6,442	14,644	40,951	70,266	93,337
Depreciation	-545	-740	-508	-595	-663
Amortisation					
EBIT	5,897	13,905	40,443	69,671	92,674
Net interest expense	144	-183	-584	-978	-1,299
Associates & JCEs					
Other income	11	-122	-390	-654	-869
Earnings before tax	6,052	13,600	39,469	68,039	90,507
Income tax	-681	-2,020	-5,862	-10,105	-13,442
Net profit after tax	5,372	11,580	33,607	57,934	77,064
Minority interests	-200	-782	-1,174	-1,408	-1,690
Other items					
Preferred dividends					
Normalised NPAT	5,171	10,797	32,433	56,525	75,374
Extraordinary items					
Reported NPAT	5,171	10,797	32,433	56,525	75,374
Dividends	-845	-1,764	-5,299	-9,234	-12,314
Transfer to reserves	4,327	9,033	27,135	47,291	63,061
Valuations and ratios					
Reported P/E (x)	175.5	83.3	27.7	15.9	11.9
Normalised P/E (x)	175.5	83.3	27.7	15.9	11.9
FD normalised P/E (x)	175.5	83.3	27.7	15.9	11.9
Dividend yield (%)	0.1	0.2	0.6	1.0	1.4
Price/cashflow (x)	286.8	82.6	26.9	15.3	12.1
Price/book (x)	47.4	30.2	15.8	8.6	5.4
EV/EBITDA (x)	140.7	61.5	21.4	11.8	8.2
EV/EBIT (x)	153.7	64.7	21.6	11.9	8.3
Gross margin (%)	33.8	42.0	41.8	42.9	44.0
EBITDA margin (%)	27.0	38.3	33.5	34.4	34.4
EBIT margin (%)	24.7	36.4	33.1	34.1	34.1
Net margin (%)	21.7	28.2	26.6	27.6	27.7
Effective tax rate (%)	11.2	14.9	14.9	14.9	14.9
Dividend payout (%)	16.3	16.3	16.3	16.3	16.3
ROE (%)	31.0	44.2	74.8	70.2	55.5
ROA (pretax %)	29.1	47.9	99.6	126.3	125.6
Growth (%)					
Revenue	122.6	60.3	219.3	67.5	32.8
EBITDA	150.4	127.3	179.6	71.6	32.8
Normalised EPS	70.4	110.7	200.4	74.3	33.3
Normalised FDEPS	70.4	110.7	200.4	74.3	33.3

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	6,442	14,644	40,951	70,266	93,337
Change in working capital	-4,452	-910	275	1,279	-2,093
Other operating cashflow	1,174	-2,839	-7,782	-12,918	-17,072
Cashflow from operations	3,165	10,896	33,444	58,628	74,172
Capital expenditure	-2,866	-2,760	-2,460	-2,160	-1,860
Free cashflow	298	8,136	30,984	56,468	72,312
Reduction in investments	0	0	0		
Net acquisitions					
Dec in other LT assets	0	0	0		
Inc in other LT liabilities	917	130	0	0	0
Adjustments	-993	12	0		
CF after investing acts	223	8,278	30,984	56,468	72,312
Cash dividends	-845	-1,764	-5,299	-9,234	-12,314
Equity issue	246	205	0	0	0
Debt issue	1,685	-1,114	500	500	500
Convertible debt issue					
Others	428	328	0	0	0
CF from financial acts	1,514	-2,344	-4,799	-8,734	-11,814
Net cashflow	1,737	5,933	26,185	47,733	60,499
Beginning cash	3,317	5,054	10,987	37,172	84,905
Ending cash	5,054	10,987	37,172	84,905	145,404
Ending net debt	-2,377	-9,391	-35,076	-82,310	-142,308

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,054	10,987	37,172	84,905	145,404
Marketable securities					
Accounts receivable	4,988	6,635	8,629	10,962	13,597
Inventories	7,051	12,681	21,536	34,422	51,577
Other current assets	1,103	781	781	781	781
Total current assets	18,196	31,084	68,118	131,070	211,358
LT investments					
Fixed assets	5,872	8,503	10,455	12,020	13,217
Goodwill	378	378	291	205	118
Other intangible assets	4,420	5,325	5,184	5,042	4,901
Other LT assets					
Total assets	28,866	45,289	84,048	148,337	229,594
Short-term debt	2,070	1,086	1,586	2,086	2,586
Accounts payable	4,417	10,446	21,570	38,068	55,765
Other current liabilities	10	27	27	27	27
Total current liabilities	6,497	11,558	23,182	40,180	58,377
Long-term debt	606	510	510	510	510
Convertible debt					
Other LT liabilities	1,470	1,599	1,599	1,599	1,599
Total liabilities	8,573	13,668	25,292	42,290	60,486
Minority interest	1,159	1,856	1,856	1,856	1,856
Preferred stock					
Common stock	19,134	29,765	56,900	104,191	167,251
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	19,134	29,765	56,900	104,191	167,251
Total equity & liabilities	28,866	45,289	84,048	148,337	229,594
Liquidity (x)					
Current ratio	2.80	2.69	2.94	3.26	3.62
Interest cover	–	76.1	69.3	71.3	71.3
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	4.61	9.72	29.19	50.87	67.84
Norm EPS (CNY)	4.61	9.72	29.19	50.87	67.84
FD norm EPS (CNY)	4.61	9.72	29.19	50.87	67.84
BVPS (CNY)	17.07	26.79	51.21	93.77	150.53
DPS (CNY)	0.75	1.59	4.77	8.31	11.08
Activity (days)					
Days receivable	61.0	55.5	22.8	17.5	16.5
Days inventory	131.1	162.5	87.9	87.5	103.4
Days payable	94.1	122.4	82.2	93.2	112.8
Cash cycle	98.0	95.6	28.5	11.7	7.1

Source: Company data, Nomura estimates

Company profile

Zhongji InnoLight is a China-based company mainly engaged in high-end optical communication transceiver module business and intelligent equipment manufacturing business. The company supplies optical transceiver modules to cloud computing data centers, data communications, 5G wireless networks and telecommunications transmission networks.

Valuation Methodology

Our TP of CNY1,015.00 is based on 20x 2027F EPS of CNY50.87, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

ESG

Zhongji InnoLight, as a social responsibility, offers infrastructure products to telecom network and data centers. The manufacturing of optical modules requires land, equipment and other materials, which may impact the environment, while factory automation may help to improve its environmental friendliness.

1Q26 results review

Zhongji InnoLight reported solid 1Q26 results on 16 April, with revenue/earnings recording 192.1%/262.3% y-y growth (47%/57% q-q) to CNY19.5bn/CNY5.7bn. GPM in 1Q26 improved by 9.4pp y-y to 46.1% (+1.6pp q-q), driven by stronger shipments of high-end 1.6T/SiPh-based products, in our view. Meanwhile, the company maintained expense control, with its opex ratio declining 1.2pp y-y (-1.3pp q-q), leading to improved net profit margin (+5.7pp y-y and +1.7pp q-q).

Fig. 1: Innolight – 1Q26 results review

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	y-y	q-q
	A	A	A	A	A	A	A	A	A		
Revenue	4,843	5,956	6,514	6,550	6,674	8,115	10,216	13,235	19,496	192.1%	47.3%
% chg yoy	163.6%	174.9%	115.2%	126.1%	37.8%	36.2%	56.8%	102.1%	192.1%		
COGS	(3,256)	(3,965)	(4,323)	(4,252)	(4,225)	(4,748)	(5,845)	(7,348)	(10,517)		
Gross Profit	1,586	1,991	2,191	2,298	2,449	3,367	4,371	5,887	8,980		
OPEX	(467)	(475)	(440)	(788)	(499)	(523)	(652)	(1,006)	(1,227)		
Operating Income	1,119	1,517	1,751	1,510	1,950	2,844	3,719	4,882	7,753	297.6%	58.8%
% chg yoy	316.1%	293.6%	143.2%	155.3%	74.2%	87.5%	112.4%	223.3%			
Finance Expense	25	40	(73)	152	17	22	(83)	(139)	(251)		
Other gains/expense	30	(2)	5	(22)	22	26	323	17	34		
Pretax income	1,175	1,554	1,683	1,640	1,990	2,891	3,959	4,759	7,536	278.7%	58.3%
% chg yoy	335.2%	249.9%	123.0%	143.4%	69.3%	86.0%	135.2%	190.2%			
Tax	166	205	289	221	407	479	823	1,094	1,801		
Profit to shareholders	1,009	1,349	1,394	1,419	1,583	2,412	3,137	3,665	5,735	262.3%	56.5%
% chg yoy	303.8%	270.8%	104.4%	141.2%	56.8%	78.8%	125.0%	158.3%			
EPS	1.26	1.20	1.24	1.27	1.43	2.17	2.82	3.30	5.16		
Ratio Analysis											
GPM	32.8%	33.4%	33.6%	35.1%	36.7%	41.5%	42.8%	44.5%	46.1%	9.4pp	1.6pp
OPEX	9.6%	8.0%	6.8%	12.0%	7.5%	6.4%	6.4%	7.6%	6.3%	-1.2pp	-1.3pp
OPM	23.1%	25.5%	26.9%	23.1%	29.2%	35.0%	36.4%	36.9%	39.8%	10.5pp	2.9pp
NPM	20.8%	22.7%	21.4%	21.7%	23.7%	29.7%	30.7%	27.7%	29.4%	5.7pp	1.7pp

Source: Company data, Nomura research

Earnings forecast revisions

We revise up our FY26-27F revenue forecasts by 30-71% to reflect strong demand for high-end transceiver products. We slightly raise our FY26F-27F GPM, by 0.1-0.2pp, to reflect a better product mix from 1.6T and SiPh-based products but partially offset by price hike of upstream materials. As a result, our FY26/27F earnings forecasts increase by 27%/65%. We also introduce our revenue/earnings forecasts for FY28F, with 33%/33% y-y growth, as we expect that 3.2T transceiver demand will start to kick in then.

Fig. 2: Innolight – earnings forecast revisions

(CNY mn)	2022	2023	2024	2025	2026F	2027F	2028F	2025	2026F	2027F	2025	2026F	2027F
	A	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	Diff.	Diff.	Diff.
Revenue	9,642	10,718	23,862	38,240	122,105	204,546	271,717	37,690	94,098	119,684	1%	30%	71%
% chg yoy	25.3%	11.2%	122.6%	60.3%	219.3%	67.5%	32.8%	57.9%	149.7%	27.2%			
COGS	(6,816)	(7,182)	(15,796)	(22,166)	(71,070)	(116,724)	(152,214)	(22,433)	(54,880)	(68,520)	-1%	30%	70%
Gross Profit	2,826	3,536	8,067	16,074	51,035	87,822	119,504	15,257	39,217	51,164	5%	30%	72%
OPEX	(1,428)	(1,348)	(2,170)	(2,170)	(10,591)	(18,151)	(26,829)	(3,239)	(9,968)	(12,079)	-33%	6%	50%
Operating Income	1,399	2,188	5,897	13,905	40,443	69,671	92,674	12,018	29,250	39,084	16%	38%	78%
% chg yoy	55.6%	56.4%	169.5%	135.8%	190.9%	72.3%	33.0%	103.8%	143.4%	33.6%			
Finance Expense	22	84	144	(183)	(584)	(978)	(1,299)	228	570	724			
Other gains/expense	(69)	221	11	(122)	(390)	(654)	(869)	18	44	56			
Pretax income	1,352	2,492	6,052	13,600	39,469	68,039	90,507	12,264	29,863	39,865	11%	32%	71%
% chg yoy	40.8%	84.4%	142.8%	124.7%	190.2%	72.4%	33.0%	102.6%	143.5%	33.5%			
Tax	128	319	881	2,802	7,036	11,514	15,133	1,979	4,258	5,563			
Profit to shareholders	1,224	2,174	5,171	10,797	32,433	56,525	75,374	10,285	25,605	34,301	5%	27%	65%
% chg yoy	39.6%	77.6%	137.9%	108.8%	200.4%	74.3%	33.3%	98.9%	149.0%	34.0%			
EPS	1.53	2.71	5.38	9.67	29.19	50.87	67.84	7.53	8.43	8.43	28%	246%	504%
Ratio Analysis													
GPM	29.3%	33.0%	33.8%	42.0%	41.8%	42.9%	44.0%	40.5%	41.7%	42.7%	1.6pp	0.1pp	0.2pp
OPEX	14.8%	12.6%	9.1%	5.7%	8.7%	8.9%	9.9%	8.6%	10.6%	10.1%	-2.9pp	-1.9pp	-1.2pp
OPM	14.5%	20.4%	24.7%	36.4%	33.1%	34.1%	34.1%	31.9%	31.1%	32.7%	4.5pp	2.0pp	1.4pp
NPM	12.7%	20.3%	21.7%	28.2%	26.6%	27.6%	27.7%	27.3%	27.2%	28.7%	0.9pp	-0.6pp	-1.0pp

Source: Company data, Nomura estimates

Our FY26-28F revenues are 56-97% above WIND consensus estimates, while our FY26-28F earnings are 28-80% above, as we are more positive on shipment volumes, ASP growth and GPM expansion in the 1.6T/3.2T product cycle in FY26-28F.

Fig. 3: Zhongji InnoLight – Nomura estimates vs consensus

(CNY mn)	FY2025 Actual	FY2026F (NOM)	FY2026F (CON)	FY2026F diff	FY2027F (NOM)	FY2027F (CON)	FY2027F diff	FY2028F (NOM)	FY2028F (CON)	FY2028F diff
Revenue	38,240	122,105	76,181	60%	204,546	103,610	97%	271,717	174,119	56%
Pretax Profit	13,600	39,469	29,002	36%	68,039	41,532	64%	90,507	69,532	30%
Net Profit	10,797	32,433	22,217	46%	56,525	31,461	80%	75,374	58,660	28%
EPS	9.67	29.19	19.98	46%	50.87	28.29	80%	67.84	52.79	28%

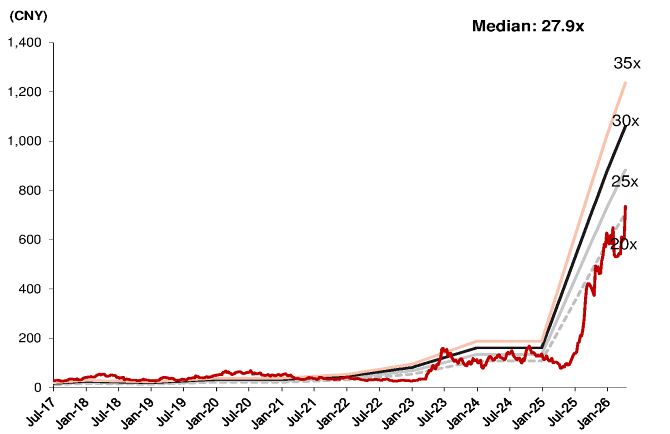
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our new TP of CNY1,015 (vs CNY799 previously) is based on rolled forward 20x (previously 30x) FY27F EPS of CNY50.42, in line with the consensus median P/E range of WIND's China A-share tech/electronic component companies.

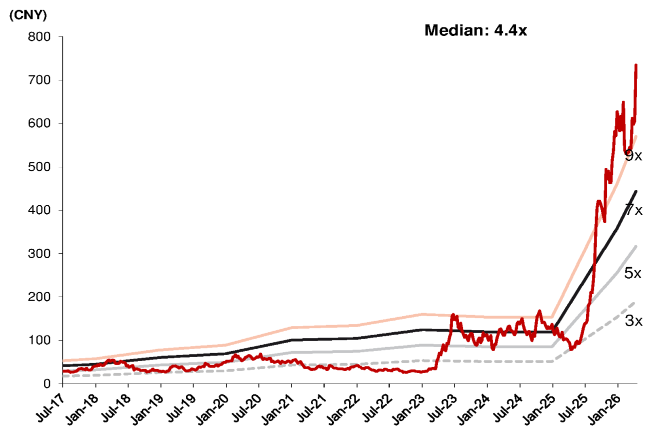
Downside risks: (1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; (2) fierce competition in the 800G/1.6T optical transceivers segments; (3) slower-than-expected product upgrades (i.e.,1.6T and silicon photonics products); and (4) an increase in price competition that might affect the company's exports to global customers.

Fig. 4: Zhongji InnoLight – 12-month-forward P/E band



Source: Company data, Nomura estimates

Fig. 5: Zhongji InnoLight – 12-month-forward P/B band



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Analyst Certification

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 809.61	16-Apr-2026	Buy	N/A	

Zhongji InnoLight (300308 CH) **CNY 809.61 (16-Apr-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Date	Rating	Target price	Closing price
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42
06-Oct-23	Buy		82.71
06-Oct-23		98.57	82.71
19-May-23	Neutral		66.82
19-May-23		64.29	66.82

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,015.00 is based on 20x 2027F EPS of CNY50.87, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

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As at 31 March 2026.
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